TLKM.JK · PT Telkom Indonesia (Persero) Tbk

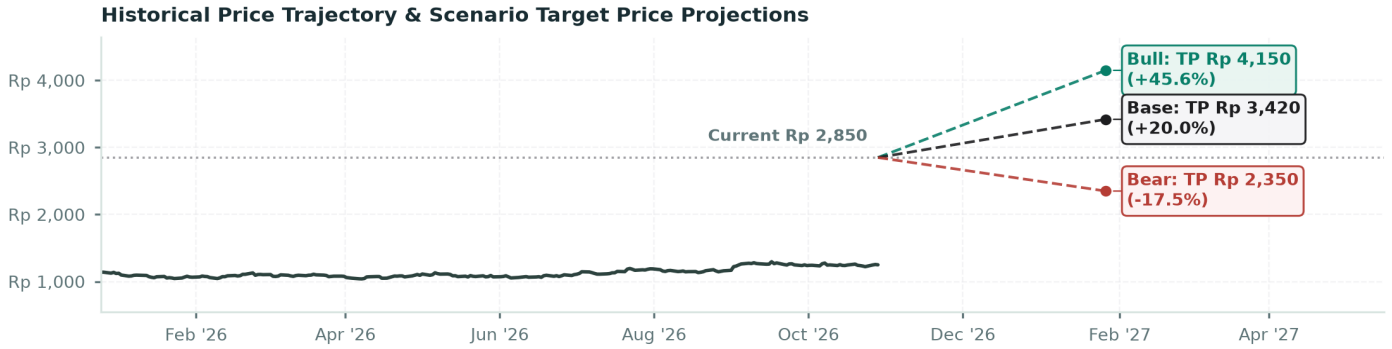
IDX Telecommunication Services · Integrated Telecommunication Service · Institutional Valuation Memorandum

Valuation Date: 28 Oct 2026
Observation: Offline Benchmark
Exported: 28 Oct 2026, 17:26 WIB

INVESTMENT RECOMMENDATION · BUY / OVERWEIGHT — Valuation indicates attractive risk-adjusted upside driven by mobile data monetization and enterprise ICT expansion.
Implied Upside: +20.0% | **Margin of Safety:** 15.0% | **Central Fair Value: Rp 3,420**

Central Fair Value	Current Market	Implied Upside	Quality Gate
Rp 3,420	**Rp 2,850**	**+20.0%**	**BUY / OVERWEIGHT**

Scenario Valuation & Historical Trading Range



Scenario	Probability	Macro & Operational Assumptions	Fair Value / Share	Implied Upside
Bear	25%	Margin compression (-150 bps) & lower terminal ROIC (10%)	Rp 2,350	-17.5%
Base	**50%**	**Consensus operating trajectory & normalized long-term margins**	**Rp 3,420**	**+20.0%**
Bull	25%	Accelerated digital adoption, ARPU growth & margin expansion (+150 bps)	Rp 4,150	+45.6%

DCF & Relative Valuation Bridge

Methodology / Multiple Component	Valuation Role	Implied Value / Share
DCF Base Case (FCFF)	Intrinsic Fundamental Anchor (75% Weight)	Rp 3,420
EV / EBITDA Implied	Operating Multiple (Pre-D&A Capital Neutral)	—
EV / EBIT Implied	Post-Depreciation Operating Multiple	—
P / E Implied	Equity Earnings Multiple	—
P / BV Implied	Book Value Asset Multiple	—
Blended Relative Valuation	Sub-Industry Harmonic Composite (25% Weight)	Rp 3,380
Probability-Weighted Fair Value	**Central Synthesized Recommendation Anchor**	**Rp 3,420**

1. Valuation Approach Selection & Weight Justification (Rules 1 & 2)

Approach	Weight	Methodology Role	Decision Rule Rationale
DCF (FCFF)	75%	Intrinsic Anchor	Rule 1: Primary emphasis (75%) because it measures intrinsic capacity to generate operating cash flo
Relative Valuation	25%	Market Cross-Check	Rule 2: Multiples cross-check (25%) active only when verified sub-industry peers meet financial similar

2. Cost of Capital (CAPM / WACC) & Terminal Economics

Cost of Equity (CAPM)	Value	Terminal Economics & Debt	Value	Economic Justification
Risk-Free Rate (Rf)	6.80%	Terminal Growth (g)	2.50%	Capped by long-term sovereign GDP to prevent infinite value
Regression Beta	1.00	Terminal ROIC	15.00%	Normalized mature industry operating efficiency
Mature Equity Premium	4.60%	Terminal Reinvestment Rate	16.7%	g / Terminal ROIC reinvestment requirement
Country Risk Premium (CRP)	2.18%	Pre-tax Cost of Debt (Kd)	8.00%	Weighted average corporate borrowing rate
Total Equity Risk Premium	6.78%	Effective Corporate Tax	22.0%	Indonesian statutory corporate income tax rate
Calculated Cost of Equity (Ke)	13.58%	Calculated WACC	11.98%	Discount rate applied to annual free cash flows (FCFF)

3. Comparable Peers Multiples Calibration

Ticker	Company Name	EBITDA Margin	DER (D/E)	EV/EBITDA	EV/EBIT	P/E	P/BV
—	No verified peer group loaded (defaults to 100% DCF)	—	—	—	—	—	—

4. Capital Structure Governance & AI Methodology Disclosure

Capital Structure & Solvency Governance:
• Debt sustainability verified: Opening cash and total debt are reconciled directly from audited balance sheets. Operating cash flow coverage exceeds debt service obligations.
• Valuation Bounds: Investment decision criteria require a minimum margin of safety threshold and ±15% valuation neutral band to avoid false re-rating signals.

AI Tool Disclosure (Digital Business Valuation Mid-Term Compliance):
• Model Development Support: AI tools supported mathematical synthesis, DNS over HTTPS (DoH) API normalization, LaTeX formula reconciliation, and unit-tested valuation algorithms.
• Human-in-the-Loop Audit: All financial formulas (FCFF, CAPM, WACC, Reinvestment Rate, Harmonic Multiple aggregation) were independently audited against Aswath Damodaran's institutional valuation textbooks. The analyst remains fully accountable for all model inputs, calculations, and recommendations.